

Whether market timing is motivated by greed or fear or anything else, the inescapable fact is that, for investors as a group, *there is no market timing*. For better or worse, all of us investors together own the total market portfolio. When one investor borrows from Peter (no pun intended!) to pay Paul, another does the reverse, and the market portfolio neither knows nor cares. This transfer of holdings among the participants is speculation, pure and simple.

Individually, of course, any one of us has the opportunity to win by departing from the market portfolio. But on what rationale will we base our market timing? On our conviction about the prospective equity premium?⁹ Concern about the *known* risks that are already presumably reflected in the level of market prices? Concern about the *unknown* risks? (It is no mean task to divine the unknowable.) Yes, as Bernstein says, “opportunities and risks will appear and disappear in short order.” I agree with that proposition. But human emotions and behavioral flaws militate against our capitalizing on them. Count me as one who simply doesn’t believe that market timing works.

Don’t forget that *your* incredible success in consistently making each move at the *right* time in the market is but *my* pathetic failure in making each move at the *wrong* time. One of us, metaphorically speaking, must be on the opposite side of each and every trade. A lifetime of experience in this business makes me profoundly skeptical of all forms of speculation, market timing included. I don’t know anyone who can do it successfully, nor anyone who has done so in the past. Heck, I don’t even know anyone who *knows* anyone who has timed the market with consistent, successful, replicable results.

It is difficult enough to make even one timing decision correctly. But you have to be right twice. For the act of, say, getting *out* of the market implies the act of getting *in* later, and at a more favorable level. But when, pray? You’ll have to tell me. And if the odds of making the right decision are, because of costs, even less than 50-50, the odds of making two right decisions are even less than one out of four. And the odds of making, say, a dozen correct timing decisions—hardly excessive for a strategy that is *based* on market